a) Specific Reserve

b) General Reserve

c) Provision

d) Sinking Fund

4. _____ fund is a form of specific reserve set aside for the redemption of a long term debt or the replacement of a wasting or a depreciating asset.

a) General

b) Special

c) Redemption

d) Sinking

5. _____ cannot be utilized for payment of dividend as a reserve can be, because it has been created for a specific purpose.

a) Development Fund

b) Special Fund

c) General Fund

d) Sinking Fund

6. _____ is created out of profits of a capital nature.

a) Capital Reserve

b) General Reserve

c) Specific Reserve

d) None of the above

7. Any reserve which is not apparent on the face of the balance sheet is known as _____

a) Secret Reserve

b) General Reserve

c) Specific Reserve

d) Sinking Reserve

8. Secret reserve is created for the purpose of _____

a) To avoid competition

b) To regulate dividend

c) To meet unforeseen emergencies

d) All the above

9. It is created as a charge on profits for some specific purposes in order to meet specific losses and certain but un-estimated liabilities _____

a) General Reserve

b) Specific Reserve

c) Capital Reserve

d) Reserve Fund

10. In which side of the balance sheet, the reserve fund and sinking fund are to be shown?

a) Assets

b) Liabilities

c) Both

d) None of these

Answers: 1.(d), 2.(a), 3.(a), 4.(b), 5.(a), 6.(a), 7.(a), 8.(d), 9.(b), 10.(b)

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